CPSEs—the four companies mentioned above share over 35 per cent of total market capitalization. However, in these companies, the government is left with only about 5 per cent of total market capitalization, or about Rs 25,000 crore.

The policy of minority stake sale is not getting us anywhere.

Selling Stakes Below 50 Per Cent and Retaining Management Control Has Not Worked Either

The government announced in Budget 2019–20 that it would be 'open' to retaining management control 'to below 51 per cent to an appropriate level on a case-to-case basis' where deemed necessary. Further, it also 'decided to modify the present policy of retaining 51 per cent government stake to retaining 51 per cent stake inclusive of the stake of government-controlled institutions'.

This announcement marked a threefold deviation from the earlier policy of selling only minority stake. First, the government was open to make a strategic sale or privatize by going below a 51 per cent stake, which included selling complete stake as well. Second, wherever it was necessary to retain management control, it could go below 51 per cent but retain management control. Third, it was also agreeable in policy to apply the 51 per cent threshold taking the composite stake of the government and the government-controlled institutions into consideration.

By announcing a total stake in BPCL, after taking out the Numaligarh Refinery, a stake sale of 30.8 per cent of a total stake of 54 per cent in CONCOR and its entire stake of 63.75 per cent in SCI, the government has rolled out the first part of the policy: stake sale with management control by divesting total stake or retaining less than 26 per cent.

The other two components of the policy—considering the stake of the government and government-controlled institutions together for the purpose of a 51 per cent stake, and going below 51 per cent but retaining